

ECON 0100 | Homework C4 | Corrective Taxes

Due: TBD

Homework is designed to both test your knowledge and challenge you to apply familiar concepts in new applications. Answer clearly and completely, and show your work so you can later understand your thought process. You are welcomed and encouraged to work in groups as long as your work is your own. Submit your answers on Gradescope when you're finished: each answer there is a selection.

Q1 | Malodorous Byproducts

Butterbeer is beloved by Hogwarts students and teachers alike and is widely available at wizarding shops. But the beverage has the negative effect of generating displeasing odors from its imbibers. Using your economic policy advising credentials, offer a remedy to the malodorous byproduct the Ministry could implement. And conclude with a description of the effects your policy would have on the butterbeer market.

Q2 | Deadweight Loss Intuition

Which of the following best explains the intuition behind the deadweight loss associated with a negative externality like the one above?

- A) The externality causes the market to produce too much of the good, leading to a surplus and reduced consumer surplus.
- B) The externality causes the market to produce too little of the good, leading to a shortage and reduced producer surplus.
- C) The externality causes the market to produce at a quantity where the marginal social cost of production exceeds the marginal social benefit of consumption, leading to inefficiency and reduced total surplus.

D) The externality causes the market to produce at a quantity where the marginal social benefit of consumption exceeds the marginal social cost of production, leading to inefficiency and reduced total surplus.